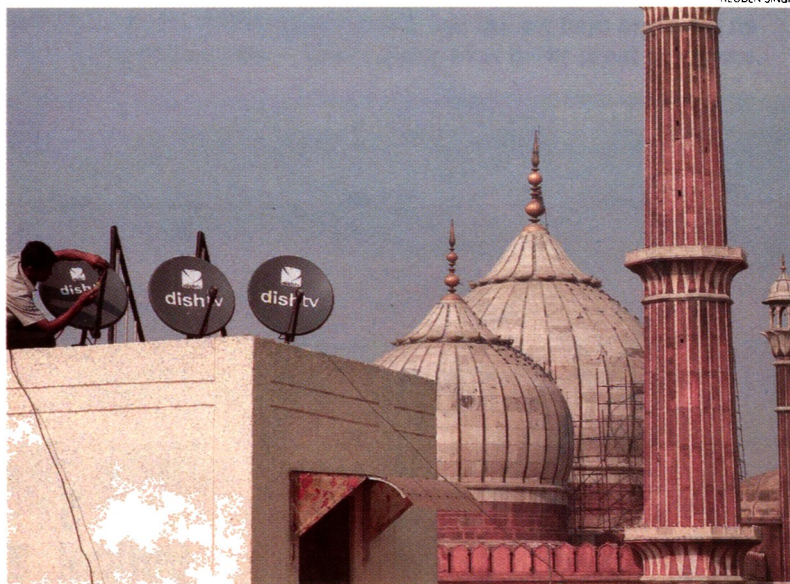


category. The major players have already increased their advertising and communication budgets. This has improved awareness levels and helped consumers understand the category, the benefits and the value it brings," says Goel.

The great Indian middle class has come a long way from routine content, limited channels, low prices and restricted programming. New distribution technologies like MPEG and increasing digitalisation are radically altering TV viewing. Viewers now have access to 100-150 channels, competitive tariffs, attractive discount schemes and customised value-added services (like video on demand). This has made things that much tougher for service providers. To gain an edge, Atul Bindal, president, Telemedia Services, Bharti Airtel, plans to leverage the benefits of his company's strong brand equity and wide distribution network. "The launch of Airtel Digital TV is the culmination of our three-screen strategy which will be present across mobile phones, computers and TV screens," he says. Others, too, have their strategies charted out. Arun Kapoor, CEO, BIG TV, who sees a huge appetite for movies in the home entertainment market, says, "BIG TV has addressed this latent demand by offering 600 new movies every year."

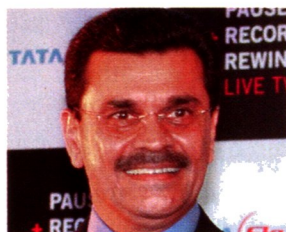
What ultimately matters is the price, extent of choice, picture quality and the convenience factor. BIG TV, like Airtel Digital TV, therefore, is banking on the latest MPEG4 standards with DVB S2 technology that can compress a larger number of channels in the same satellite transponder compared to MPEG2, which is being used by competitors like Dish TV and Tata Sky. It allows exceptional picture clarity and consistent high quality audio. This technology also enables delivery of more complex interactive content and is high-definition ready.

Dish TV, however, is not rattled. It is planning to launch its own satellite to offer customers up to 400 channels by next year. Dish TV can be installed along with the existing cable connection. But the sellout is its reach in far-flung areas like Siachen and Ladakh, where TV was a mere dream and live TV on aircraft (Kingfisher Airlines) and on moving vehicles, including warships. Not to be outdone, Tata Sky has become the first DTH operator to have broken the Rs 100 price-barrier. Its Super Hit Pack, a new base offering 52 channels at a monthly fee of just Rs 99, competes with BIG TV's festive offer, giving three months free subscription at Rs 1,490. "The chal-



**GROWTH CURVE:**  
Dish antennae  
dot rooftops

**The challenge is not in increasing the subscriber base but in retaining it.**



**VIKRAM KAUSHIK**  
MANAGING DIRECTOR, TATA SKY

**DTH business is a long gestation project globally and we expect the same for India.**



**ATUL BINDAL**  
PRESIDENT, TELEMEDIA SERVICES,  
BHARTI AIRTEL

lenge is not in increasing the subscriber base but in retaining it," says Vikram Kaushik, managing director, Tata Sky, which has recently unveiled Tata Sky Plus that offers a personal video recorder. The first to offer interactive services, Tata Sky boasts of a menu that has something for everyone in the family.

It is not just the turf war between private players that is prompting the rush to grab the consumer mindset with tempting products, but also the intensifying war between DTH and cable operators. The DTH industry is slowly capturing the cable operator market, says the FICCI-PwC research report which adds that wherever digitisation has happened and the conditional access system has been made mandatory—in the four metros—25 per cent of the audience has shifted from cable to DTH. The DTH operators are set to capture 72 per cent of the 25 million new subscribers in the next three years through intense competition between the cable and DTH firms, says a latest report from international media research firm Media Partners Asia. By 2010, digital subscribers are likely to corner nearly 25 per cent of the overall cable market, up nearly three times from the existing 8 per cent.

Although Ernst and Young says DTH prices in India are already too low, the entry of Airtel and Videocon might further rationalise the charges. What more could the consumer ask for? ■